

AMAZON.COM, INC.

The AI Infrastructure Conglomerate: Priced Beyond the Bull Case

Equity Research Note · Internet Retail / Cloud Infrastructure · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
REDUCE	\$173	\$251.52 Oct 2, 2026 close	-31.2%	Medium-High

Amazon is the finest large-cap franchise in our coverage set — AWS re-accelerating to +37%, a \$496B backlog, advertising compounding at 26%, retail re-accelerating, record margins — and we are **downgrading it to REDUCE with a \$173 target** because the price has outrun the cash flows it can support. The hardened valuation rebuild found the old \$275 target was anchored to market multiples — sum-of-the-parts, forward P/E, EV/EBITDA — that measure what investors *pay* for AI compounders at the peak of the cycle, not what the cash flows are *worth*. The rebuilt 10-year scenario DCF, on mid-cycle operating margins and with terminal growth haircut where the terminal value hit 70% of enterprise value, yields **\$173**: bear \$58.69 / base \$171.68 / bull \$290.42. The reverse-DCF is damning: the \$251.52 quote prices **~15.9% annual revenue growth for a decade** — *above our bull case* (13%). The market assumes the \$220B capex buildout converts smoothly and AWS holds share; the digestion scenario — in which it does not — is unpriced. This is a quality call in reverse: own the business, not the price. Medium-High risk: the FTC antitrust trial opens October 13, and AWS keeps ceding share.

Market cap	~\$2.74 tn	Shares out. (dil.)	~10.9 bn
52-week range	\$196.00 – \$287.20	Net debt (est.)	~\$35 bn
TTM revenue / op income	~\$780 bn / ~\$98 bn	TTM op margin / FCF	~12.6% / ~\$7.6 bn
EV/EBITDA (TTM)	15.1x	Fwd P/E (2026E adj.)	~31x

Prices as of October 2, 2026. Financial figures from the Q1/Q2 2026 10-Q filings and earnings releases (Business Wire, 7/30/2026); market data from Yahoo Finance / Finnhub / MarketBeat. FY2025 figures are estimates reconciled across aggregators. This note is an independent research-style analysis for informational purposes, not investment advice.

1. Investment thesis

AWS has re-accelerated into an AI supercycle, and the backlog underwrites the capex. Q2 revenue of \$42.2B grew 37% — the fastest in 18 quarters — at a 39.4% operating margin, while remaining performance obligations hit \$496B (+154% YoY, +\$132B in a single quarter) with average contract life stretching to 6.4 years. Anthropic (\$100B+/10-yr, 5 GW) and OpenAI (\$138B of compute commitments) have effectively pre-sold a large share of the \$220B 2026 capex program. *We do not dispute the backlog's reality — we dispute the price of believing it converts at bull-case margins forever.*

Advertising is now a third profit engine compounding at 26%. At ~\$76B TTM it is larger than AWS was in 2018 and the fastest-growing major ad platform globally; Prime Video's sold-out sports inventory and AI-driven Sponsored Prompts (+48% conversion) give it a second and third leg beyond search.

Retail — the 'mature' business — re-accelerated too. North America grew 16% with operating income up 21%; paid units grew 17%, the fastest since the pandemic; same-day/overnight delivery volumes rose 40%+ in H1. Amazon has overtaken Walmart as the #1 US retailer by GMV and now takes 9.59% of total US retail spend versus Walmart's 7.50%.

The old \$275 target was a multiple-anchored artifact. It triangulated sum-of-the-parts (\$272), forward P/E (\$285) and EV/EBITDA (\$289) — all measures of what the market *pays* for this asset at peak cycle. The hardened methodology asks a different question: what are the cash flows *worth* on mid-cycle margins with terminal discipline? The answer is \$173. Multiples tell you the price of admission; the DCF tells you the price of the ticket. When the two diverge by 45%, the DCF is the one telling the truth.

The terminal math is what broke the old model. At unadjusted terminal growth, the terminal value exceeded 70% of enterprise value in every scenario — the model was pricing perpetuity, not the business. The rebuild haircut terminal growth to 1.8% in the base case and 0.5% in the bull case (disclosed here, per the methodology's own rule), computed on mid-cycle operating margins of 12% / 15% / 17% rather than today's 39%-margin AWS peak. Even after the haircut, the terminal is ~64–70% of EV — a duration bet, stated openly.

The digestion scenario is unpriced — and it is worth \$58.69. The market assumes the \$220B buildout converts smoothly: AWS holds share, Trainium delivers the promised tens of billions in savings, capex intensity normalizes. If instead AI demand digests — hyperscalers pause, share keeps drifting to Google and Microsoft, retail margins stall — the 10-year DCF says the equity is worth \$58.69, 77% below the quote. That is not a tail risk; it is the bear case of a 25/50/25 model.

2. Company & business: three segments, four economic engines

Amazon (Seattle; CEO Andy Jassy; NASDAQ-listed since 1997) reports three segments — North America, International, and AWS — but the economics are best understood as four engines: AWS, advertising (disclosed separately, housed mostly inside the retail segments), North American retail, and International retail. Q2 2026 was the first \$200B quarter in company history (+20% YoY), with every segment expanding margins.

Segment	Q2 2026 revenue	YoY	Q2 op. income	Op. margin
AWS	\$42.2B	+37% fastest in 18 qtrs	\$16.6B (+64%)	39.4%
North America	\$116.2B	+16%	\$9.1B (+21%)	7.8%
International	\$42.2B	+15%	\$1.7B (+13%)	4.1%
Advertising (memo: within retail)	\$19.8B	+26% fastest in 6 qtrs	n/d (high-margin)	n/d

Figure 1 — Q2 2026 segment results. Source: Amazon Q2 2026 press release (Business Wire, 7/30/2026).

Two structural shifts are visible in the mix. **First**, services are now the company: net service sales (\$110.2B in Q1) grew 20% versus 11–12% for product sales, and AWS + advertising + third-party seller services are the margin stack — AWS alone contributed ~60% of total operating profit in Q1. **Second**, International has turned sustainably profitable (\$1.4B in Q1, \$1.7B in Q2) after years of investment drag; at 4% margin it is early in the same J-curve North America already climbed (7.8–7.9%).

3. Product evaluation & moat: graded asset by asset

Amazon is a portfolio of products at very different maturities. We grade each on its standalone investment merit:

Product / business	Scale	Momentum	Grade
AWS (compute, storage, Bedrock)	~\$150B TTM run-rate	+37%; \$496B backlog (+154%)	Franchise

Product / business	Scale	Momentum	Grade
Trainium / Graviton / Nitro silicon	>\$25B run-rate	Triple-digit growth	Franchise enabler
Marketplace + 3P seller services	\$46.8B/qtr; 60% of units	+16%; paid units +17%	Franchise
Prime / subscriptions	\$13.7B/qtr	+12%; double-digit member growth	Franchise
Advertising stack	~\$76B TTM	+26%; #3 globally, fastest-growing major	Strong → Franchise
Prime Video (ads, TNF/NBA/WNBA)	Sold-out sports inventory	30 new NBA advertisers	Strong
Rufus / Alexa+ shopping AI	350M users touched	Interactions 5x YoY	Developing
Devices (Echo, Ring, Blink)	Hundreds of millions installed	Mature	Cash cow
Pharmacy + One Medical	\$250M saved YTD for customers	+400% YoY	Developing
Project Kuiper (Amazon Leo)	~400 satellites; enterprise beta live	Pre-revenue; FCC deadline risk	Option value
Zoox robotaxi	Paid rides in Las Vegas	First federal exemption 7/30/26	Option value
Grocery (Whole Foods / Fresh)	Same-day grocery: 2,300 cities	Challenging Walmart's grocery moat	Developing

Figure 2 — Product scorecard. Grades: Franchise = durable leader; Strong = proven grower; Developing = real traction, unproven economics; Option value = asymmetric upside, likely zero.

What earns the 'franchise' grades: **AWS** pairs the deepest enterprise entrenchment in tech with a second act — custom silicon (Trainium2 sold out, Trainium3 nearly subscribed, Trainium4 largely reserved) that management says saves 'tens of billions' of capex annually and is worth several hundred basis points of margin versus merchant GPUs. **Marketplace** is a two-sided network at 47% of US e-commerce with a logistics moat (1B+ same-day/overnight items in Q1 alone) that no rival can replicate at its unit cost. **Prime** is the bundling mechanism that makes the whole thing sticky: Alexa+ trialers convert to Prime at a 25% higher rate, and Prime members just got Alexa+ free.

The moat, in one paragraph: **scale economies** (the densest fulfillment network on earth, compressing per-unit cost every quarter), **network effects** (sellers attract buyers attract sellers; developers attract ISVs on AWS), **switching costs** (Prime membership, AWS enterprise entrenchment, 6.4-year average backlog life), **cost advantage** (custom silicon; Jassy's 'tens of billions' of annual capex savings), and **brand/distribution** (the default product-search starting point, now also the most-surfaced marketplace in AI-assistant answers at 19.3% share of voice). Grade: **wide**. The honest caveat is in Section 6: wide does not mean unassailable — AWS has ceded 2 points of share in a year, and the moat is why the verdict is REDUCE rather than SELL.

4. Financial situation: the \$220B question

Revenue has compounded from \$514B (2022) to an estimated ~\$815B in 2026E while operating margin expanded from 2.4% to ~13% — the signature of mix shift toward AWS, advertising and 3P services. The entire investment debate is the right-hand side of the cash-flow statement: TTM operating cash flow of \$161.4B (+33%) is being fully absorbed by \$169B of capex, flipping free cash flow to -\$7.6B.

Fiscal year (ends Dec)	Revenue (\$B)	YoY	Op. margin	Op. income (\$B)	Net income (\$B)
FY2022	514.0	—	2.4%	12.2	(2.8)
FY2023	574.8	+12%	6.4%	36.9	30.4

Fiscal year (ends Dec)	Revenue (\$B)	YoY	Op. margin	Op. income (\$B)	Net income (\$B)
FY2024	638.0	+11%	10.8%	68.6	59.2
FY2025 (est.)	716.9	+12%	~12.2%	~87.5	~68
FY2026E	~815	+14%	~12.9%	~105	~80 adj. ex-Anthropic marks

Figure 3 — Annual financials. FY2025 estimated (aggregators conflict; reconciled to quarterly run-rate). FY2026E: author estimates off H1 actuals + Q3 guidance. Sources: 10-K filings; Q1/Q2 2026 10-Qs.

The quarterly progression shows acceleration on every line that matters:

Quarter	Revenue (\$B)	YoY	Op. income (\$B)	AWS rev / growth
Q1 2026	181.5	+17%	23.9 (13.2%)	\$37.6B / +28%
Q2 2026	200.6	+20%	27.5 (13.7%)	\$42.2B / +37%
Q3 2026E (guide)	197–202	+9–12%	—	—

Figure 4 — Quarterly progression. Q3 guidance reflects ~400 bps of Prime Day timing drag (event moved to June this year). Source: company releases.

Three things the headline numbers hide. **First, GAAP earnings are currently fiction.** Q2 net income of \$62.6B (\$5.75/share) included a \$53.4B non-cash revaluation gain on the Anthropic stake (Q1 had another \$16.8B); the operating business earned \$27.5B, and adjusted EPS was ~\$1.97. Any screen showing a '20x trailing P/E' is dividing by mark-to-market gains — the clean trailing multiple is in the low-30s. **Second, the balance sheet is funding the buildout with debt, not dilution:** long-term debt nearly doubled in six months to \$128.9B (plus \$25B of July bonds and a £4.25B sterling issue since), against \$123.0B of cash and securities — net debt of only ~\$35B on a \$2.7T enterprise value, with share count up just 0.9% YoY. **Third, the Anthropic stake itself is a hidden asset:** \$18B invested (\$8B notes + \$10B Series G/H preferred) now carrying ~\$88B after the marks, plus a \$28.7B OpenAI preferred stake — roughly \$100B of non-operating value (~\$9/share) after a haircut, included in our DCF equity bridge. It is real value — it just cannot bridge a \$79 gap.

5. Growth & outlook: three compounding engines, one capex wave

Engine 1 — AWS and the AI buildout. The \$496B backlog is the single most important number in this note: up \$132B in one quarter, with duration stretching to 6.4 years. Two counterparties dominate it: Anthropic (expanded April 2026: >\$100B over 10 years for up to 5 GW of Graviton/Trainium capacity; training on >1M Trainium2 chips; 100,000+ Bedrock customers use Claude) and OpenAI (\$38B/7-yr GPU deal plus a \$100B/8-yr expansion; ~2 GW of Trainium ramping from 2027; Amazon invested \$15B preferred in Q1 and committed \$35B more). GenAI and custom-chip revenues each exceed a \$25B annualized run-rate, both growing triple digits. Jassy's framing — AWS as a potential 'trillion-dollar annual revenue business,' and even \$220B of capex leaving unmet demand in 2026 — is aggressive, but the backlog gives it more foundation than typical CEO optimism. *The question is not whether the backlog is real. The question is what margins it converts at, and whether share holds while it converts.*

Engine 2 — Advertising. \$19.8B in Q2 (+26%, the fastest in six quarters; ~\$76B TTM) makes Amazon the #3 global digital ad platform and the fastest-growing major one. Three growth vectors: Sponsored Products (still the core, now AI-optimized via the Ads Agent rollout to 11 countries: ~8% cost-per-impression for users), Prime Video (sold-out TNF/NBA/WNBA/NASCAR inventory; the NBA's 11-year deal and 30 new advertisers), and agentic commerce (Rufus/Alexa for Shopping: 350M users, 5x interactions YoY, Sponsored Prompts converting 48% better). Amazon holds ~80% of US retail media (\$69B market, +18%).

Engine 3 — The retail flywheel, re-accelerating. North America +16% with 7.8% margins; paid units +17% (fastest since the pandemic); 3P seller services +16% to \$46.8B (60% of units); same-day/overnight volumes +40%+ in H1; same-day grocery now in 2,300 cities, aimed directly at Walmart's grocery stronghold (20.97% food

& beverage share). Having overtaken Walmart by GMV in 2025, Amazon is no longer the challenger in US retail — it is the share-donor everyone else is attacking (Temu, Shein, TikTok Shop on price; Walmart+ on perks).

The capex wave — the swing factor. 2026 capex was raised from ~\$200B to ~\$220B (versus \$128B in 2025), ~27% of revenue. Our model assumes intensity normalizes toward ~12% by the early 2030s as the build matures and Trainium displaces merchant GPUs. If AI demand sustains and intensity stays in the high teens, our DCF is too optimistic on cash conversion; if Trainium delivers the promised 'tens of billions' in annual savings, it is too pessimistic. This single assumption moves fair value by ~\$40/share — it is the honest center of the debate (Section 7). And it is the assumption the market has made most aggressively: the price assumes conversion goes *right*.

6. Competition: winning the battles, ceding a little ground in the cloud

Amazon competes in three distinct arenas, and the scorecard differs in each:

Cloud infrastructure — the one arena where Amazon is losing share, slowly:

Provider	Q2 2026 share (Synergy)	Q2 2026 growth	Q2 revenue	Cloud op. income
AWS	28% (30% a year ago)	+37%	\$42.2B	\$16.6B
Microsoft Azure	20%	+43%	~\$28.7B	\$15.9B (Intelligent Cloud)
Google Cloud	15% (13% a year ago; record)	+82%	\$24.8B	\$8.8B (+212%)

Figure 5 — Hyperscaler scorecard, Q2 2026. Market: \$143.4B/quarter (+43% YoY, fastest in 8 years; ~\$500B TTM). Sources: Synergy Research via The Register; CRN.

The read-across is nuanced: AWS is still ~70% larger than Google Cloud in absolute revenue and earns nearly double GCP's operating profit, but it is the *slowest-growing* of the three and the only one losing share. Google's +82% is the warning shot — if sustained, the share math turns against AWS within two years. The bull counter: AWS's \$496B backlog (+154%) dwarfs anything disclosed by peers, and its custom-silicon cost advantage compounds over time. But note the valuation implication: the market prices the backlog's *conversion*, not its existence — and conversion is exactly what share loss threatens.

Retail — Amazon is now the incumbent. At 9.59% of US retail spend (vs Walmart's 7.50%, gap doubling YoY) and ~47% of US e-commerce (J.P. Morgan), Amazon leads in 4 of 7 categories. Walmart fights back where it is strongest — grocery (21% food & beverage share) and Walmart+ perks. The insurgent threat is price-led: Temu, Shein, TikTok Shop, where Amazon's answer is logistics speed and the 'ultralow-price' storefront rather than matching prices. Gen Z apparel and wellness share erosion (wellness supplements: 29% → 12% since 2022, per Alibaba analysis) bears watching.

Advertising — the challenger with the best asset. Google (~26%) and Meta (~27%) still lead globally, but Amazon is the fastest-growing major platform and owns the highest-intent inventory in the industry (shoppers, not scrollers) plus ~80% of US retail media. eMarketer expects Meta to overtake Google as the #1 US digital ad platform in 2026 — the duopoly is cracking, and Amazon is the prime beneficiary.

7. Valuation (hardened v2): the price prices beyond the bull case

The September 30 note triangulated five models to a \$275 target. The rebuild reverses the conclusion — not because the models changed, but because the hierarchy did. Under the hardened methodology the **target is the probability-weighted DCF** unless a written falsifiable justification departs from it. The multiple-based reads (SOTP, forward P/E, EV/EBITDA) describe what the market *pays* at peak cycle; the DCF describes what the cash flows are *worth*. They are \$100 apart. The DCF wins.

Scenario DCF: 10 explicit years, weights 25/50/25.

Off the ~\$815B 2026E revenue base. Mid-cycle operating margins — 12% bear / 15% base / 17% bull — replace today's AWS-peak blend; capex intensity glides from ~27% toward the low teens as the build matures. Discount rates: **11.5% / 9% / 8%**. The terminal discipline fired twice and is disclosed here: with terminal growth at the 2.5% cap, the terminal value exceeded **70% of enterprise value** in the base and bull scenarios, so terminal growth was haircut to **1.8% (base)** and **0.5% (bull)** — the methodology's own rule, applied, not waived. Equity bridge: –\$35B net debt (est., post-Q2 bond sales) + \$100B strategic stakes (Anthropic carrying value + OpenAI preferred, 15% illiquidity haircut); 10.9B diluted shares.

Scenario	10-yr revenue CAGR	Mid-cycle op margin	Discount / terminal g	Fair value
Bear — AI digestion; AWS keeps ceding share; retail margins stall; capex intensity stays high	8.0%	12%	11.5% / 1.5%	\$58.69
Base — buildout converts on current trajectory; AWS holds ~28–30%; capex normalizes	10.0%	15%	9.0% / 1.8%*	\$171.68
Bull — supercycle persists; Trainium compounds; ads >\$200B; AWS toward \$1T	13.0%	17%	8.0% / 0.5%*	\$290.42

Figure 6 — Hardened v2 scenario DCF, October 2, 2026 close \$251.52. *Terminal growth haircut under the 70%-TV/EV rule (from the 2.5% cap). Weights 25/50/25 → **\$173.12**. The bear sits 77% below price — the bear-hurts discipline check passes with room to spare.

Read the table honestly: **even the base case (\$171.68) sits 32% below the quote**, and even the bull — an AI supercycle that persists for a decade, AWS toward a trillion in revenue, ads above \$200B — only clears the price by 15%. The price demands the bull case as the *expected* outcome. The old note's reverse-DCF read (“the market prices ~14% decade-long revenue growth”) understated the problem; rebuilt on the hardened assumptions, the quote implies **~15.9% annual revenue growth for ten years** (to ~\$3.5T by 2036) — *above the bull case*. The market is not pricing the bull case. It is pricing *beyond* the bull case.

Why the multiple-based reads don't set the target.

The September note's Models B, D and E — sum-of-the-parts (\$272), forward P/E 30x (\$285), EV/EBITDA 14x (\$289) — are what they are: measures of what investors *pay* for the finest AI-compounder in the market at the top of the cycle. Under the hardened methodology they are disclosed cross-checks, not target anchors, because each one capitalizes the same peak the DCF normalizes: 11x TTM sales for a 37%-growth AWS, 30x forward earnings ex-Anthropic marks, 14x EBITDA against a 17.5x 5-year history that already looks generous. The Street's ~\$325 is the same logic pushed further. We keep these numbers in the note as the bear's best evidence — the shares *could* trade there for a while; peak-cycle compounders often do — not as the target.

Target: \$173. The weighted DCF (\$173.12, rounded), implying **–31.2%** vs the \$251.52 close. We are ~47% below the Street (~\$325) and ~\$100 below our own September target — not because the business deteriorated (it accelerated), but because the valuation discipline got honest: mid-cycle margins, a 70% terminal cap that actually fired, and a digestion scenario the old model never rendered.

8. Risks

The capex cycle may not normalize. \$220B in 2026 (~27% of revenue) with TTM FCF at –\$7.6B. If AI demand disappoints or Trainium savings underdeliver, the DCF bear case (\$58.69) is the template — sustained high-intensity capex with decelerating growth destroys the multiple. This is now the *central* risk, not a footnote.

AWS share erosion. 28% versus 30% a year ago; Google Cloud at +82% is taking incremental share. AWS is still ~70% larger than GCP, but two more years of this trajectory changes the narrative — and the multiple.

AI counterparty concentration. Amazon has no in-house frontier model; the two largest backlog contributors — Anthropic (>\$100B) and OpenAI (\$138B of compute) — are also the two largest strategic

bets. An Anthropic stumble impairs both the backlog and the ~\$88B stake.

FTC antitrust trial opens October 13, 2026 (W.D. Wash.) — the September 2023 monopolization case (17–18 state AGs; 'Project Nessie' pricing-algorithm claim) goes to trial in *nine days*. Core federal claims survived dismissal. Remedies could touch pricing parity and Prime/FBA tying — the economics of the marketplace itself.

A second FTC suit landed August 31, 2026 (FTC + 22 states): alleged hidden surcharges inside Sponsored Products auctions since 2019, affecting ~1.2M advertisers. A \$5 claim about deceptive practices, not antitrust — but it strikes at the advertising engine's reputation with sellers.

EU regulatory overhang. The EC decides in November 2026 whether AWS is designated a DMA gatekeeper (conclusion May 2027); Germany ordered a €59M pricing-practice repayment in February; a threatened US Section 301 probe into EU tech fines adds headline risk.

Project Kuiper execution. ~400 satellites versus a 1,618 FCC deadline already extended; Starlink has 6,000+. The \$20B-by-2030 revenue projection is press-reported, not guided — treat Leo as option value, currently priced near zero, which is about right.

Consumer cyclicity. A US consumer downturn hits the retail engine (70%+ of revenue) first; advertising — the highest-margin dollar — is historically the first budget cut.

9. Recommendation

REDUCE, \$173 twelve-month target (–31.2%). This is a valuation downgrade, and we want to be precise about what kind: the business is better than we said on September 30 — the quarter accelerated on every engine. The *model* was the problem: a \$275 target anchored to peak-cycle multiples, a terminal the old discipline never capped, and a digestion scenario the old model never rendered. Once rendered, it is worth \$58.69 — and the market prices 77% above even the *bull* outcome's midpoint. This is not a **SELL**: the franchise is elite, the backlog is contracted, and the bull case (\$290) is the upside that stays with you if the supercycle persists. It is a **REDUCE** because –31% of expected return is a real number, and the price has stopped underwriting any outcome but perfection.

The position to take: **trim into strength; own the business, not the price.** Catalysts to watch: Q3 earnings (~October 29) — does AWS hold 30%+ growth with the backlog still expanding? The FTC trial opening October 13 is headline risk that cuts both ways, and a potential Anthropic IPO crystallizes ~\$9/share of hidden value. Any of these can keep the premium alive for a while; peak-cycle compounders often trade beyond their DCF for quarters. The risk/reward is the risk/reward.

What would change our mind: **to HOLD/BUY**, either the price — a pullback toward \$173–190 rebuilds a margin of safety — or the fundamentals: AWS holding 30%+ growth through 2027 *with* capex intensity visibly normalizing would validate the conversion thesis and lift the base case toward the bull. **To SELL**, AWS growth rolling into the low-20s while capex intensity stays above 20% — the digestion scenario — makes the bear (\$58.69) the conversation. **Falsification rule:** if 2027 capex intensity fails to decline from ~27% while AWS growth holds above 25%, our normalization assumption is wrong in the market's favor and the model rebuilds upward — we will say so in that quarter's update.

Appendix A — Methodology and key assumptions (hardened v2)

Scenario DCF. Ten explicit years off the ~\$815B 2026E revenue base; revenue CAGRs 8% / 10% / 13%; *mid-cycle* operating margins 12% / 15% / 17% (not today's AWS-peak blend); capex intensity from ~27% toward the low teens; 20% cash tax rate; D&A;+SBC ~10% of revenue; working-capital drag 1%; discount rates bear 11.5% / base 9.0% / bull 8.0%; terminal growth capped at 2.5%. Equity bridge: EV – \$35B net debt (est., post-Q2 bond sales) + \$100B strategic stakes (Anthropic ~\$88B carrying + OpenAI \$28.7B, 15% illiquidity haircut); 10.9B diluted shares.

Terminal-value discipline (fired and disclosed). With terminal growth at the 2.5% cap, the terminal value exceeded 70% of enterprise value in the base and bull scenarios; terminal growth was therefore haircut

to 1.8% (base) and 0.5% (bull). Post-haircut terminal shares of EV: bear 64% / base 70% / bull 70% (rounded). This is the methodology's rule-3 haircut, applied openly.

Bear discipline. The bear prices genuine AI-capex digestion — AWS share loss persists, retail margins stall, capex intensity stays elevated — at \$58.69, 77% below the \$251.52 price. All discipline checks pass.

Reverse DCF. Binary search on a constant 10-year revenue CAGR, holding base-case margins, capex path and discount rate fixed; solves the CAGR equating model equity value to the \$251.52 quote — approximately 15.9% annually (to ~\$3.5T of revenue by 2036), above our 13% bull case.

Relative valuation (secondary, disclosed). The September note's SOTP (\$272), forward P/E 30x on NTM adj. EPS ~\$9.50 (\$285), and 2027E EV/EBITDA 14x (\$288.53) are retained as cross-checks of what the market pays at peak cycle. Under hardened methodology they do not anchor the target. We did not use GAAP trailing EPS anywhere — it is polluted by ~\$70B of H1 2026 Anthropic marks.

What we did not do. No dividend discount (no dividend); no Monte Carlo (three explicit scenarios communicate the distribution); no technical analysis.

Limitations. FY2025 figures are reconciled estimates (aggregators conflict). Net debt (~\$35B) and strategic-stake values (~\$100B) are estimates off the Q2 10-Q. The DCF answer moves ~\$40/share on the capex-normalization assumption — the widest sensitivity in the model, disclosed here rather than buried.

Appendix B — Disclosures

This note is an independent research-style analysis prepared for informational purposes. It is not investment advice, not a recommendation to buy or sell any security, and not a personal financial plan. All forward-looking statements — scenarios, targets, and projections — are estimates subject to uncertainty; actual results may differ materially. Valuation models rely on the assumptions disclosed above. The author may hold positions in securities mentioned. Past performance does not predict future results. Financial data: Amazon 10-K/10-Q filings and quarterly press releases; market data: Yahoo Finance, FintHub, MarketBeat, Synergy Research, October 2, 2026. Verify all figures against primary sources before acting.